
HUNGARY 2005

1. Overview of the tax-benefit system

Unemployment insurance is compulsory for everyone in employment, except self-employed persons and employed pensioners; unemployment benefit is paid for a maximum of 9 months. Social assistance is the ultimate financial aid available. Non means tested family benefit is available for one or two adults raising a dependent child. Three further specific means tested child raising benefit types may be claimed by those raising a minor aged child. The tax unit is the individual.

1.1. *Average worker wage (AW)*¹

The AW value for 2005 was HUF 1 818 360.

1. AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2004-2005, OECD, 2005, part 5, sections 2 and 3.

2. Unemployment insurance system

Applicable statutory basis: Act IV of 1991 on Promoting Employment and Providing for the Unemployed. Basic principles: Based on principles of social insurance, financed by employers' and employees' contributions and central state budget subsidies, providing earnings-related benefits to employees. Field of application: All employees.

The institutional structure of the Hungarian employment policy system can be divided into two main types: *self-governing bodies* on the one hand, and *administrative bodies* on the other. The self-governing bodies are the National Conciliation Council, the Governing Body of the Labour Market Fund, and County (Capital) Labour Councils. The State Employment Service is the administrative body of the employment system. It consists of the National Employment Office, County (Capital) Labour Centres, and Labour Force Development and Training Centres.

2.1 Conditions for receipt

2.1.1 Employment conditions

Main conditions:

- involuntary unemployment,
- no entitlement for old-age, invalidity pension or work accident-related disability pension,
- seeking employment
- co-operation with the labour centre

2.1.2 Contribution conditions

Qualifying period: payment of contributions for at least 200 days during the previous 4 years.

The contribution paid by the employee is 1 per cent of his/her gross earnings. Employer's contribution equals 3 per cent of the gross wages, remuneration or earnings paid.

The self-employed pay 4 per cent contribution.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The determining factor is the gross average salary. The gross average salary of the previous 4 calendar quarters are taken as reference. No ceiling.

The amount of benefit is 65% of the gross average salary. Its bottom limit equals 90% of the minimum old age pension (22,230 HUF/month). The maximum amount of the unemployment benefit is 1,8 times of the minimum old age pension (44,460 HUF).

2.2.2 Income and earnings disregards

Those, claiming unemployment benefit, may not pursue any gainful activity. The only two exceptions are short term employment for up to 90 days, and employment with the occasional employment booklet. During the time of short term employment, the benefit ceases to be payable (must be suspended). If the unemployed person has performed work with the occasional employment booklet, then the unemployment benefit must be reduced by the daily amounts of the unemployment benefit for the number of days spent in employment.

2.3 Tax treatment of benefit

Unemployment benefits are subject to the full range of income taxation. The pension insurance contribution is 8,5%, and the years on benefit count as qualifying period for pension calculation purposes. The benefit is not subject to 4% health contribution (and the claimant will not receive sick pay for disease during the benefit period, but will only receive the unemployment benefit until the expiration of the entitlement).

2.4 Benefit duration

One day of unemployment benefit is paid for every 5 days of insurance contribution period, up to a maximum of 270 days. Following the expiration of unemployment benefit, the social assistance scheme provides a means-tested regular social benefit, amounting 70% of the minimum old age pension.

2.5 Treatment of particular groups

2.5.1 Young persons

No specific rules for young persons, the general rules of unemployment benefit entitlement conditions apply.

2.5.2 Older workers

Benefits provided for older unemployed:

- pre-retirement unemployment assistance: can be provided for the unemployed person if he/she is within five years of reaching retirement age, has been receiving unemployment benefit for at least 140 days, shall reach retirement age minus 5 years within 3 years after the termination of his/her unemployment benefit, has a sufficient contribution period for retirement (normally 20 years), has no prospect of finding a suitable job, and

co-operates with the Labour Centre. The amount of the assistance is 80% of the minimum old age pension (19,760 HUF in 2005).

- early pension: can be provided for the person maximum 5 years before his/her official retirement age if he/she has a sufficient contribution period for retirement (normally 38 or 33 years). The employer transfers the amount of old-age pension to the Pension Insurance Fund up to his/her advance pension age.
- If the person had 3 years to reach retirement age, he or she could receive a pre-retirement pension financed from the Labour Market Fund. This exit-route was terminated in 1998.

2.5.3 *Others if applicable*

3. Unemployment assistance

Mainly long-term unemployed persons whose unemployment benefit entitlement expired and who satisfied certain specific criteria were eligible to so-called *income subsidy* in accordance with Act III of 1993 on Social benefits of unemployed persons (this type of support **was terminated** on 1 May 2000).

3.1 Conditions for receipt

3.1.1 Employment conditions

3.1.2 Contribution conditions

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

3.2.2 Income and earnings disregards

3.3 Tax treatment of income subsidy

The income subsidy is exempt from taxation and from any other contributions.

3.4 Benefit duration

3.5 Treatment of particular groups

3.5.1 Young persons

3.5.2 Older workers

3.5.3 Others if applicable

4. Social assistance

Regular social benefit: It is provided within the social assistance scheme in order to ensure a minimum standard of living. The amount of the benefit is determined by per capita income of the applicant's household. Financing: 90% by state budget and 10% by local authorities (100% by state budget in case of homeless people).

4.1 Conditions for receipt

Those entitled to regular social support are those who have completed their 18th year of age, and:

- a) Have lost at least 67 per cent of their working ability, or are in receipt of blind persons' annuity or of disability assistance.
- b) Being unemployed, but no longer entitled to income supplement for the unemployed (or not entitled for income supplement at all, in this case a certain period of cooperation with the local government is needed) and having no alternative source of living.

An income related criterion: per capita monthly income in the family does not exceed 80 per cent of the minimum level of the old age pension of the time (the old age pension was HUF 24 700 in 2005), and a person's own monthly income does not exceed:

In the case of a) 80 per cent of the minimum old age pension applicable at the time (in 2005: 19,760 HUF).

In the case of b) 70 per cent of the minimum old age pension applicable at the time (in 2005: 17,290 HUF).

The active age unemployed claimant must co-operate with the local government or with any social institution appointed by it.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

In the case of a) 80 per cent of the minimum old age pension applicable at the time (in 2005: 19,760 HUF).

In the case of b) 70 per cent of the minimum old age pension applicable at the time (in 2005: 17,290 HUF).

4.2.2 Income and earnings disregards

According to the Social Act all types of earnings are considered as income, so do the family benefits. Except for the occasional benefits (eg. 13. monthly pension), or benefits provided in unexpected or emergency situations (irregular child protection support, temporary assistance), the home maintenance

support and the benefits related to health impairment (eg. disability support, disability annuity) - these are not regarded as income.

Benefit recipients are allowed to perform temporary work (casual work). No support is payable for any day worked.

4.3 *Treatment of Benefit*

Not subject to taxation

4.4 *Benefit duration*

No time limit.

4.5 *Treatment of particular group*

No.

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. *Housing benefits*

The home maintenance support is a means-tested benefit, which is provided as social assistance by the local government for a family or individual who lives in a home not exceeding a specified minimum size.

5.1 *Conditions for receipt*

The benefit is particularly justified if:

- the acknowledged costs of home maintenance are equal to 20 % or more of the total monthly income of the household
- the monthly income per person does not exceed 150% of the current minimum amount of old age pension.
- Or: at the time of taking part in debt reducing service (there are no other conditions in this case)

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of gross benefit*

The minimum amount of the benefit is 2,500 HUF.

5.2.2 *Income and earnings disregards*

No.

5.3 *Taxation of housing benefit*

Not subject to taxation.

5.4 *Treatment of particular groups*

No.

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. *Family benefits*

The Hungarian family support system is a universal scheme, thus every Hungarian national, long-term residents, migrant workers or refugees who are parents (foster and stepparents as well) or guardians (including foster home managers), and who have children up to a certain age (23), may be entitled to various family support benefits. These benefits are financed out of the central budget. The family support system provides:

- family allowance,
- child home care allowance,
- child raising support;

Regular child protection support is social assistance-based, provided by the local government, if the per capita income does not exceed the amount of the minimum old-age pension, provided that staying in the family is not harmful to the child concerned.

Irregular child protection support is social assistance-based, provided by the local government for families having temporary cash flow problems or facing emergency situations that seriously threaten their standard of living.

6.1 *Conditions for receipt*

General eligibility for every parent raising a child to family allowance. This benefit is provided from birth to the termination of studies in compulsory education system (usually 0- 18 years), then for secondary school education or vocational training, up to 23 years of age.

Regular child protection support is social assistance-based, provided by the local government, if the per capita income does not exceed the amount of the minimum old-age pension, provided that staying in the family is not harmful to the child concerned.

Irregular child protection support is social assistance-based, provided by the local government for families having temporary cash flow problems or facing emergency situations that seriously threaten their standard of living.

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

Family allowance:

- for one-child family: 5100 HUF,
- for one-child, single-parent family: 6000 HUF,
- for two-children family: 6200 HUF per child,
- for two-children, single parent family: 7200 HUF per child,
- for families with three or more children: 7800 HUF per child,
- for single parent families with 3 or more children: 8400 HUF per child,
- for families with severely ill or disabled child: 13,900 HUF
- for single parent families with severely ill

or disabled child

15 700 HUF

- in case the child concerned is in foster home

or lives with foster parent:

7,200 HUF

In July the amount provided for families is doubled. The benefit is paid by the family benefit pay-office of the employer or by the regional directorate of the Hungarian State Treasury.

Regular child protection support: the amount is 5,434 (22% of minimum old-age pension) HUF per month which can also be provided as an in-kind support.

Irregular child protection support: the amount is designated by decree of the respective local government.

6.2.2 *Income and earnings disregards*

See 6.1.

6.3 *Tax treatment of family allowance*

Not subject to tax.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

Single parents and parents with severely ill or disabled child are entitled to higher amounts of benefits. (see 6.2.1.)

7. Child care benefits

Birth grant is a universal benefit provided for every mother (or adopting parents) right after giving birth. **Pregnancy-confinement benefit** is insurance-based, for 24 weeks (4 weeks before, 20 weeks after planned date of birth, or 24 weeks after the date of birth, as the choice of the mother). **Child care fee** is insurance based, provided after the period of pregnancy confinement benefit to the age of 2 years of the child. **Child home care allowance** (provided also for grandparents): entitlement is universal, providing flat-rate benefit to all residents. As a general rule, the benefit is provided until the age of 3 years of the child. In case of twins, the benefit is provided until the twins enter into primary education. In case of a child being severely ill or disabled, the benefit is provided until the age of 10 years of the child. **Child raising support:** entitlement is universal, providing a flat-rate benefit, provided that there are three or more minor children (being under the age of 18) raised in the family. The benefit shall be provided from the age of 3 years of the youngest child until she/he reaches the age of 8 years.

7.1 *Out-of-pocket childcare fees paid by parents*

At the centre-based institutes providing the day-time provisions for children the care is free of charge, the family have to pay only for the meal. The average fee is: 6.000 Ft/person/month. The basis of calculation: The cost of the raw material for one person. After children who are liable to receive the so called regular child benefit, get 100% reduction, families with three children or more, get 50% reduction, families with child who is permanent ill or disabled get 50% reduction.

At the form of the child-minding care at home the fee is based upon the hours being in care, but can not be more than 15% of the monthly income of the parents. If the care includes meal, can not be more than 20% of that.

The fees are legislated: The Act of Protection of Children 1997 XXXI regulates the question.

They are not tax deductible.

The liability for social support gives possibility for reduction of the fees.

7.2 *Child-care benefits*

Birth grant is a universal benefit provided for every mother (or adopting parents) right after giving birth. Pregnancy-confinement benefit is insurance-based, for the period of the maternity leave, namely 24 weeks (4 weeks before, 20 weeks after planned date of birth, or 24 weeks after the date of birth, as the choice of the mother). Child care fee is insurance based, provided from after the period of pregnancy confinement benefit to the age of 2 years of the child. Child home care allowance (provided also for grandparents): entitlement is universal, providing flat-rate benefit to all residents. As a general rule, the benefit is provided until the age of 3 years of the child. In case of twins, the benefit is provided until the twins enter into primary education. In case of a child being severely ill or disabled, the benefit is provided until the age of 10 years of the child. Child raising support: entitlement is universal, providing a flat-rate benefit, provided that there are three or more minor children (being under the age of 18) raised in the family. The benefit shall be provided from the age of 3 years of the youngest child until she/he reaches the age of 8 years.

7.2.1 Conditions for receipt

Birth grant is conditional upon that the mother completed at least four prenatal medical examinations (one in case of premature birth). Pregnancy-confinement benefit is provided if the insured mother (or adopting mother) was insured for at least 180 days during the last two years prior to childbirth and gave birth to the child during being insured or within 42 days after having been terminated the insurance or during paid sick-leave. Conditions of the child care fee: the parent has to be insured, and needs at least 180 days of insurance during the last two years before delivery, the child lives with the claimant's family, and one of the parents is obliged to stay at home and care for the child. Child home care allowance: for parents who stay away from work to care for their children aged under 3 years (aged under 10 for disabled children) or for grandparents who care for their grandchildren aged between 1-3 years in the household of the parent. In case of twins the allowance is paid until children will reach the compulsory schooling age (usually 6 years). Child raising support: see 7.2.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

Birth grant: one off lump-sum payment, 225% of the minimum amount of old-age pension per child or 300 % of the minimum of old-age pension per child in case of twin-children.

Pregnancy confinement benefit: the amount of benefit is defined as 70% of the previous average daily income.

Child care fee: the amount of benefit is defined as 70% of the previous average daily income, with a ceiling of maximum 83,000 HUF, introduced by 1 January 2003.

Child home care allowance: the amount equals to the monthly minimum old age pension (in 2005: 24,700 HUF), in case of twins, the amount is doubled (in 2005: 49,400 HUF). Child raising support: the amount, irrespectively to the number of children in the family concerned, equals to the minimum old age pension.

7.2.2.2 Income and earnings disregards

No.

7.2.3 Tax treatment of benefit and interaction with other benefits

1. The pregnancy-confinement benefit is disbursed on an insurance basis, and is proportionate to earnings, and therefore counts as taxable income and interact only with child home care allowance.

2. Child care allowance is not taxable income as long as no extra wage earning activity is performed besides, however, as soon as this happens, the earnings thus generated will be taxable together with the allowance and the tax calculated on the allowance is deductible. Pension contribution must be paid after it as the disbursement period is qualifying period for pension.
3. Child raising support is not taxable income as long as no extra wage earning activity is performed besides, however, as soon as this happens, the earnings thus generated will be taxable together with the support and the tax calculated on the support is deductible. Pension contribution must be paid after it as the disbursement period is qualifying period for pension.
4. Child care fee is disbursed on an insurance basis, and is proportionate to earnings, and therefore counts as a taxable income and can interact with child home care allowance.

7.2.4 *Treatment of particular groups*

See above.

7.3 ***Tax treatment of benefits***

1. The pregnancy and confinement benefit is disbursed on an insurance basis, and is proportionate to earnings, and therefore counts as taxable income.
2. Child care allowance is not taxable income as long as no extra wage earning activity is performed besides, however, as soon as this happens, the earnings thus generated will be taxable together with the allowance and the tax calculated on the allowance is deductible. Pension contribution must be paid after it as the disbursement period is qualifying period for pension.
3. Child raising support is not taxable income as long as no extra wage earning activity is performed besides, however, as soon as this happens, the earnings thus generated will be taxable together with the support and the tax calculated on the support is deductible. Pension contribution must be paid after it as the disbursement period is qualifying period for pension.
4. Child care fee is disbursed on an insurance basis, and is proportionate to earnings, and therefore counts as a taxable income. Pension contribution must be paid after it as the disbursement period is qualifying period for pension.

8. **Employment-conditional benefits**

See section 10.1.1.2.

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 **Others if applicable**

9. **Lone-parent benefits**

See 6.2.1.

9.1 *Conditions for receipt*

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. *Tax system*

10.1 *Income tax rate schedule*

10.1.1 *Tax allowances and credits*

10.1.1.1 *Standard allowances*

None.

10.1.1.2 *Standard tax credits*

Employment tax credit:

This must be calculated as 18% of wage income earned (with the monthly maximum of HUF 9 000). This tax credit is applicable to workers whose annual income does not exceed HUF 1 950 000. In the

case of employees having annual income between HUF 1 350 000 and 1 950 000, a reduced amount of tax credit has been applicable.

Supplemental employment tax credit:

This tax credit is applicable to workers whose annual income is between HUF 600 000 and HUF 1 302 400. This must be calculated as 18 per cent of annual wage income earned that is in excess of HUF 600 000, with the monthly maximum of HUF 1260. In the case of employees having annual income between HUF 1 000 000 and HUF 1 302 400, a reduced amount of tax credit is applicable.

Tax credits for children:

For one dependant HUF 3,000 per month; for two dependants HUF 4,000 per month/each dependant; for three or more dependants HUF 10,000 per month/each dependant.

10.1.2 The definition of taxable income

Gross (wage and unemployment) earnings.

10.1.3 The tax schedule

Taxable income (HUF)	Tax rate (%)
0 – 1 500 000	18
1 500 001 –	38

10.1.4 State and local income taxes

In Hungary there is no local personal income tax system supplementing the central one. More precisely, the total income tax collected is split between the central government and local governments. At the same time, the local governments can levy taxes on sites and buildings, tourist facilities and activities, employment and business activities.

10.2 Treatment of family income

The tax unit is the individual. Spouses are taxed separately.

10.3 Social security contribution schedule

10.3.1 Pensions

A new pension system became effective on 1 January 1998. The pension system has now three pillars and consists of a PAYG mandatory social pension insurance scheme, a mandatory private scheme and a fully funded voluntary private scheme. As from 2003, participation in the public scheme and the mandatory private scheme is mandatory for all employees under the age of 42 who first join the social security system. (Other private persons had the right to join a mandatory private pension fund until 1 September 1999.) As from May 2004, those who first join the social security system in Hungary but previously had mandatory pension insurance abroad may enter a mandatory private fund on a voluntary basis within 3 months. Employees remaining in the public scheme continue to pay 8.5 per cent contributions to the social insurance pension fund (the PAYG scheme). Members of the mixed system pay 0.5 per cent contribution into the social insurance pension scheme and 8 per cent contribution to the mandatory private scheme. Employers pay 18 per cent contribution to the social insurance pension scheme (regardless of whether the employee is member of the mandatory private pillar).

10.3.2 Sickness

The rate of the employees' health contribution amounts to 4% of gross earnings. Employers pay 11% contribution.

10.3.3 Unemployment

The worker must pay, as employees' contribution, 1% of gross earnings. Employers pay 3%.

Contributions	Percentage of gross earnings
Unemployment	1.0
Social security (other)	11.5

Note: Only earned income is liable to unemployment insurance and sickness contributions. That is, workers pay 13.5 per cent and unemployed pay 8.5%. The maximum level of yearly income subject to employees' pension contributions is HUF 6 000 600 (daily HUF 16 440).

10.4 Treatment of particular group

10.4.1 Young persons

As from October 2005, employers taking on career starters with a 'Start Card' (which is valid for two years after completing studies before reaching age 25, or age 30 in the case of a higher degree) are

exempt from lump sum health insurance contribution. Furthermore, these employers are liable to a lower rate of social security contribution (15 per cent in the first year of employment, 25 per cent in the second year as opposed to the general 18+11+3 per cent rate). However, this lower rate can only be applied up to 150 per cent of the minimum wage (or 200 per cent in the case of a higher degree). In the case of career-starters with no 'Start Card' the employer may be entitled to a reduction in contributions as set out under section 10.4.3.

10.4.2 Older workers

As from January 2005, employers hiring previously unemployed people over 50 years of age can apply for a reduction in the employer's social security contributions. The reduction is 50 per cent at least and is valid for a maximum duration of one year.

10.4.3 Others if applicable

As from January 2005, employers of former recipients of any of the various child care benefits are entitled to a 50 per cent reduction in social security contributions (18+11 per cent pension and health insurance contribution) for the first nine months of the employment and for HUF 90 thousand in salary at most.

11. Part-time work

11.1 Special benefit rules for part-time work

The promotion of part-time employment is governed by the Employment Act. This scheme is designed to resolve, through part-time work, the problems faced by certain employee groups threatened by unemployment. Assistance for the purpose of job preservation is designed to promote the part-time employment of specific groups of workers and individuals. Accordingly assistance may be granted under the following circumstances:

- ☐ Persons employed between 50-75% of a full-time employee.
- ☐ Persons raising a child under the age of ten while working part time.
- ☐ Persons employed reaching retirement age within five years.
- ☐ Persons having lost at least 40% of their working ability.

11.2 Special tax and social security contribution rules for part-time work

Part-time workers pay the same social security contributions as full-time workers, a contribution calculated as a per cent of earnings. From 1st November 2005 the fixed sum contribution for health care amounts to HUF 1950 per person per month. This is paid by the employer for each employee, irrespective of the wage of each employee. In the case of part-time employees the amount of the lump sum contribution may be reduced proportionally with the working time down to 50 per cent at most. Employers employing long-term unemployed over 50 years of age or recipients of child care allowance or child raising support are exempt from the fixed sum contribution for health care.

12. Policy developments

12.1 Policy changes introduced in the last year

As from January 2005, the ceiling of employees' pension contribution (for public and mandatory private pillar combined) has been increased from a daily HUF 14 500 to HUF 16 440. Employers of career starters, former recipients of child care benefits, long-term unemployed over 50 or beneficiaries of a scholarship are entitled to a reduction of employers' social security contributions. The self-employed became involved in the unemployment insurance, they are to pay 4 per cent "entrepreneurs' contribution" in return of which they will be entitled to a benefit similar to the unemployment benefit. As from 2005, part-time employment incurs only proportional payment of lump sum contribution for health care.

12.2 Policy changes announced